# TRIBHUVAN UNIVERSITY — BBA 8TH SEMESTER

## MGT 240: STRATEGIC MANAGEMENT — COMPLETE EXAM REVISION NOTES

### Unit-by-Unit Master Guide (Units 1 to 5) | Frameworks, Matrices, Diagrams, Differentiations & Case Guide

## UNIT 1: INTRODUCTION TO STRATEGIC MANAGEMENT (9 LHs)

### 1.1 Concept, Features & Importance of Strategy and Strategic Management

• **Concept of Strategy:** Derived from the Greek word *'Strategos'* (the art of the general), strategy is an integrated, long-term master plan and unified direction that matches an organization's internal resources and capabilities with external environmental opportunities and threats to achieve sustainable competitive advantage.
• **Concept of Strategic Management:** Strategic management is the dynamic, continuous process of environmental scanning (internal & external), strategy formulation, strategy implementation, and strategic evaluation & control that enables an organization to achieve its long-term objectives.
• **Key Features of Strategic Decisions:**
• **1. Long-Term & Future-Oriented:**Covers a 3-to-10+ year time horizon.
• **2. Top-Management Driven & Holistic:** Formulated by the Board of Directors and CEO, affecting the entire organization.
• **3. Major Resource Commitment:** Requires substantial capital, physical, and human resources and is irreversible in the short run.
• **4. Open-System Fit:** Aligns internal capabilities (SAP) with external environmental shifts (ETOP).
• **Importance / Need for Strategic Management:**
• **1. Proactive Adaptation to Environmental Change:** Helps firms anticipate technological, political, and competitive shifts rather than merely reacting to crises.
• **2. Sustainable Competitive Advantage:** Builds unique core competencies that outperform rivals.
• **3. Goal Clarity and Unified Direction:** Aligns all departments and employees toward a shared Vision and Mission.
• **4. Optimal Resource Allocation:** Directs scarce capital toward high-return business units and projects.
• **5. Superior Financial Performance:** Research shows firms practicing formal strategic management achieve higher ROI, sales growth, and survival rates.

### 1.2 Evolution of Strategic Management (4 Historical Phases)

- **Phase 1 — Basic Financial Planning (1950s):** Short-term (1-year) annual operational budgeting and internal cost control.
- **Phase 2 — Forecast-Based (Long-Range) Planning (1960s):** Multi-year (3–5 year) extrapolation of past trends and capital budgeting.
- **Phase 3 — Externally Oriented Strategic Planning (1970s–1980s):** Focus shifted to industry analysis (Porter's Five Forces), competitive positioning, and portfolio matrices (BCG, GE) in response to global oil shocks and competition.
- **Phase 4 — Strategic Management & Dynamic Capabilities (1990s–Present):** Holistic integration of strategy formulation with implementation, corporate culture, Resource-Based View (RBV/VRIO), hyper-competition, digital transformation, and agile strategic control.

### 1.3 The Strategic Management Process (4 Core Phases)

- **Step 1: Establishing Strategic Intent & Environmental Analysis:** Setting Vision, Mission, and Objectives; scanning the external environment (PESTEL, Five Forces -> ETOP) and internal environment (Value Chain, RBV -> SAP).
- **Step 2: Strategy Formulation & Strategic Choice:** Generating Corporate, Business, and Functional strategic options, evaluating them via SWOT/BCG/GE/Hofer matrices, and selecting the best strategy using Suitability, Feasibility, and Acceptability (SFA).
- **Step 3: Strategy Implementation (Action Stage):** Designing organizational structure, allocating resources, setting functional policies, exercising strategic leadership, and aligning corporate culture.
- **Step 4: Strategic Evaluation and Control:** Monitoring premises and actual performance against KPIs (via Strategic Audit & Balanced Scorecard) and taking corrective action.

### 1.4 Levels of Strategy in an Organization (Corporate vs. Business vs. Functional)

| Dimension | 1. Corporate-Level Strategy | 2. Business-Level (SBU) Strategy | 3. Functional-Level (Operational) Strategy |
|---|---|---|---|
| **Core Question** | *'What businesses/industries should we be in?'* | *'How should we compete in each chosen business/industry?'* | *'How do departments support the business strategy daily?'* |
| **Decision Makers** | Board of Directors, CEO, Corporate HQ. | SBU Heads, Divisional General Managers. | Functional Heads (Marketing, Finance, Operations, HR, R&D;). |
| **Scope & Horizon** | Entire enterprise; Long-term (5–10+ yrs). | Specific Strategic Business Unit; Medium-to-long term (3–5 yrs). | Specific functional department; Short-term (1 yr or less). |
| **Major Examples** | Stability, Expansion (Diversification, M&A;), Retrenchment, Portfolio allocation. | Porter's Cost Leadership, Differentiation, Focus; Bowman's Strategic Clock. | JIT production, R&D; innovation, HR training, pricing/promotion tactics. |

### 1.5 Strategic Intent Hierarchy: Vision vs. Mission vs. Objectives

• **Strategic Intent (Hamel & Prahalad):** The overarching, ambitious dream of winning market leadership that stretches an organization beyond its current resources.
• **Vision Statement ("What do we want to become?"):** Future-oriented mental image of the desired long-term state. According to Collins & Porras, a Vision has two components: **(1) Core Ideology** (Core Values + Core Purpose) and **(2) Envisioned Future** (10–30 yr BHAG + Vivid Description).
• **Mission Statement ("What is our business and whom do we serve?"):** Enduring statement of current purpose, products/services, markets, technology, philosophy, and public image.
• **Objectives & Goals:** Specific, measurable performance targets. Effective objectives must be **SMART**: **S**pecific, **M**easurable, **A**chievable, **R**elevant, and **T**ime-bound.
• **Role of Information in Strategic Management:** Reduces environmental uncertainty, powers early-warning scanning (PESTEL/competitor intelligence), enables internal benchmarking, and supports real-time KPI tracking in strategic control.

***EXAM MEMORY TIP / MNEMONIC:*** *Remember the 3 Levels of Strategy by their Core Question: Corporate = 'Where to compete?' (Which industries); Business/SBU = 'How to compete?' (Cost vs. Differentiation); Functional = 'How to execute?' (HR, Finance, Marketing, Operations).*

## UNIT 2: ENVIRONMENT AND STRATEGY ANALYSIS (10 LHs)

### 2.1 External Environment Analysis: PESTEL, Porter's 5 Forces, ETOP, Scenario Planning & Competitor Analysis

**1. Macro (General / Remote) Environment — PESTEL Analysis:**
• **P — Political:** Government stability, tax policy, foreign trade regulations, subsidies.
• **E — Economic:** GDP growth, inflation rate, interest rates, exchange rates, unemployment, disposable income.
• **S — Socio-Cultural:** Demographics, age distribution, lifestyle changes, education, cultural attitudes.
• **T — Technological:** R&D; intensity, automation, AI/digitalization, rate of technological obsolescence.
• **E — Environmental (Ecological):** Climate change, carbon regulations, green sustainability, waste management.
• **L — Legal:** Company law, labor laws, consumer protection, intellectual property (patents), Nepal Insurance/NRB Acts.

**2. Industry (Task / Operating) Environment — Porter's Five Forces Model (Very Important for 10 Marks):**
• **(1) Threat of New Entrants:** Depends on entry barriers (economies of scale, capital requirements, brand loyalty, switching costs, distribution access, government licensing).
• **(2) Bargaining Power of Buyers:** High when buyers are concentrated, buy in bulk, products are standardized, switching costs are low, and buyers threaten backward integration.
• **(3) Bargaining Power of Suppliers:** High when few suppliers exist, inputs have no substitutes, switching costs are high, and suppliers threaten forward integration.
• **(4) Threat of Substitute Products/Services:** Products from outside the industry satisfying the same need place a ceiling on industry prices.
• **(5) Intensity of Rivalry Among Existing Competitors:** High when many equal-sized rivals exist, industry growth is slow, fixed costs are high, differentiation is low, and exit barriers are high.

**3. Environmental Threat and Opportunity Profile (ETOP):**
A structured summary table of external scanning that lists environmental sectors (Economic, Market, Technological, Regulatory), uses arrows (Up Arrow = Favorable, Down Arrow = Unfavorable, Horizontal = Neutral) to show the nature of impact, and classifies each as a major **Opportunity (+)** or **Threat (-)**.

**4. Scenario Planning & Competitor / Strategic Group Analysis:**

• **Scenario Planning:** Constructing 3–4 plausible future macro-narratives (Optimistic, Pessimistic, Base-Case) to stress-test strategies under high uncertainty.

• **Strategic Group:** A cluster of firms within the same industry pursuing similar strategies along dimensions like price, quality, and geographic scope (e.g., luxury vs. budget hotels).

## 2.2 Internal Environment Analysis: RBV (VRIO), Value Chain Analysis, SAP, Benchmarking & SWOT

**1. Resource-Based View (RBV) & Threshold vs. Strategic Resources:**

• **Threshold Resources & Capabilities:** Minimum baseline resources required merely to survive and compete at parity in an industry.

• **Strategic / Unique Resources & Core Competencies (VRIO Framework — Jay Barney):** Resources that create a **Sustainable Competitive Advantage** because they are:

- **V (Valuable):** Create customer value or exploit opportunities / neutralize threats.
- **R (Rare):** Possessed by only one or very few rivals.
- **I (Inimitable):** Costly or impossible for competitors to copy (due to patents, unique history, causal ambiguity, or social complexity).
- **O (Organized / Non-Substitutable):** Supported by organizational systems to capture value.

**2. Michael Porter's Value Chain Analysis (VCA):**

Examines how a firm's sequential activities create customer value in excess of cost (Profit Margin):

**3. Comparative Analysis (Historical, Industry Norms, Benchmarking) & Financial Analysis:**

• **Historical Comparison:** Comparing the firm's current ratios/KPIs with its own past performance over 3–5 years.

• **Industry Norms:** Comparing performance against industry averages.

• **Benchmarking:** Measuring products, services, and processes against the toughest "best-in-class" global or industry leaders to close performance gaps.

**4. Strategic Advantage Profile (SAP) & SWOT / TOWS Matrix:**

• **SAP:** A structured internal summary table rating functional areas (Marketing, Finance, Operations, HR, R&D;, MIS) as **Strengths (+)**, **Weaknesses (-)**, or **Neutral (0)**.

• **SWOT / TOWS Matrix:** Combines internal SAP (Strengths & Weaknesses) with external ETOP (Opportunities & Threats) to generate four sets of strategies: **SO (Maxi-Maxi: Leverage Strengths to seize Opportunities)**, **WO (Mini-Maxi: Overcome Weaknesses via Opportunities)**, **ST (Maxi-Mini: Use Strengths to counter Threats)**, and **WT (Mini-Mini: Defensive turnaround/retrenchment)**.

***EXAM MEMORY TIP / MNEMONIC:*** *ETOP vs. SAP in 1 line: ETOP summarizes EXTERNAL Opportunities (+) & Threats (-); SAP summarizes INTERNAL Strengths (+) & Weaknesses (-). Together, ETOP + SAP = SWOT!*

# UNIT 3: STRATEGY FORMULATION (12 LHs)

## 3.1 Corporate-Level Strategic Alternatives (Grand Strategies) & Ansoff's Growth Directions

**1. Stability Strategy (When environment is stable and performance is satisfactory):**
• *No-Change Strategy:* Continuing current operations without modification.
• *Pause / Proceed-with-Caution Strategy:* Temporary consolidation after rapid expansion before making the next move.
• *Profit Strategy:* Artificially sustaining short-term profits during a temporary slump by deferring R&D;/maintenance.

**2. Expansion / Growth Strategy (Ansoff's Product-Market Directions, Integration & Diversification):**
• **(a) Concentration / Intensive Growth (Igor Ansoff's 2x2 Matrix):**
1. *Market Penetration (Existing Product + Existing Market):* Increasing market share via advertising, price promos, or sales force push.
2. *Market Development (Existing Product + New Market):* Entering new geographic regions (exports/provinces) or new customer segments.
3. *Product Development (New Product + Existing Market):* Launching new or improved products to current customers.
• **(b) Vertical & Horizontal Integration:**
- *Backward Integration:* Acquiring or setting up raw material suppliers (controlling inbound supply).
- *Forward Integration:* Acquiring wholesalers/retailers or opening company-owned showrooms (controlling distribution).
- *Horizontal Integration:* Acquiring a direct competitor at the same stage of the value chain.
• **(c) Diversification (New Product + New Market):**
- *Related (Concentric) Diversification:* Expanding into new businesses that share common technology, marketing channels, or core competencies (creates **synergy: 2 + 2 = 5**).
- *Unrelated (Conglomerate) Diversification:* Expanding into completely unrelated industries to spread financial risk and stabilize cash flows.

**3. Retrenchment / Defensive Strategy (During financial distress or declining markets):**
• *Turnaround Strategy:* Aggressive cost-cutting, asset reduction, and revenue restructuring to reverse declining profits.
• *Divestment (Divestiture) Strategy:* Selling off or spinning off an unprofitable or non-core SBU/division.
• *Liquidation Strategy:* Last-resort strategy—closing down the entire business and selling off physical assets to pay creditors.

**4. Combination Strategy:** Pursuing stability, expansion, and retrenchment simultaneously across different SBUs.

## 3.2 Business-Level Strategies: Porter's Generic Strategies & Bowman's Strategic Clock

**1. Michael Porter's Three Generic Competitive Strategies:**
• **(1) Overall Cost Leadership:** Becoming the lowest-cost producer in the industry for a broad market through economies of scale, experience curve, tight overhead control, and process automation.
• **(2) Broad Differentiation:** Offering products or services perceived industry-wide as unique (in quality, design, brand image, technology, or customer service), allowing the firm to command a premium price.
• **(3) Focus (Niche) Strategy:** Concentrating on a narrow buyer segment, product line, or geographic market via either **Cost Focus** or **Differentiation Focus**.
• *"Stuck in the Middle":* Firms that fail to achieve either low cost or clear differentiation suffer low profitability.

**2. Bowman's Strategic Clock (8 Market-Based Positions on Price vs. Perceived Added Value):**
• **Position 1 (Low Price / Low Value — "No Frills"):** Bargain-basement segment for price-sensitive buyers.
• **Position 2 (Low Price):** Competing on lower price while maintaining standard quality (Cost Leadership).
• **Position 3 (Hybrid / Best-Cost):** Moderate price with high perceived value (simultaneous cost efficiency + differentiation).
• **Position 4 (Differentiation):** High perceived value with moderate-to-high price.
• **Position 5 (Focused Differentiation):** Luxury/prestige niche with very high perceived value and high price.
• **Positions 6, 7 & 8 (Failure Strategies):** High price with standard/low value—doomed to fail unless protected by a monopoly.

## 3.3 Methods of Strategy Development (Internal vs. M&A; vs. Strategic Alliances)

| Method | Meaning & Mechanism | Key Advantages | Key Limitations |
|---|---|---|---|
| **1. Internal Development (Organic Growth)** | Growing by building internal R&D;, new plants, and sales force from within. | Preserves corporate culture; avoids acquisition premium; spreads investment cost gradually. | Slow speed of market entry; limited by internal knowledge. |
| **2. Mergers & Acquisitions (M&A;)** | Two firms combine (Merger) or one firm buys controlling equity in another (Acquisition). | Instant market entry & market share; eliminates a competitor; acquires ready brands/patents. | High acquisition premium; cultural clash; post-merger integration failure. |

| Method | Meaning & Mechanism | Key Advantages | Key Limitations |
|---|---|---|---|
| **3. Joint Ventures & Strategic Alliances** | Two or more independent firms pool resources/skills via a collaborative partnership or joint entity. | Shares risk and capital cost; combines complementary skills; overcomes foreign entry barriers. | Risk of partner conflict, profit sharing, and leakage of proprietary know-how. |

## 3.4 Portfolio Analysis Tools for Strategic Choice: BCG, GE 9-Cell & Hofer's Matrix (10-Mark Favourite)

**1. BCG Growth-Share Matrix (2x2)**

| | |
|---|---|
| **STARS**<br>(High Share, High Growth)<br>**-> Invest for Growth** | **QUESTION MARKS (?)**<br>(Low Share, High Growth)<br>**-> Build Selectively/Divest** |
| **CASH COWS**<br>(High Share, Low Growth)<br>**-> Milk / Harvest Cash** | **DOGS**<br>(Low Share, Low Growth)<br>**-> Divest / Liquidate** |

**2. GE / McKinsey Nine-Cell Business Screen (3x3)**

| | | |
|---|---|---|
| **GROW / BUILD** (High/Strong) | **GROW / BUILD** (High/Avg) | **HOLD / SELECT** (High/Weak) |
| **GROW / BUILD** (Med/Strong) | **HOLD / SELECT** (Med/Avg) | **HARVEST/DIVEST** (Med/Weak) |
| **HOLD / SELECT** (Low/Strong) | **HARVEST/DIVEST** (Low/Avg) | **HARVEST/DIVEST** (Low/Weak) |

• **Why GE 9-Cell Matrix is Superior to BCG Matrix:** (1) Uses multi-factor weighted composite scores (Industry Attractiveness & Business Unit Strength) instead of single variables (Growth & Share); (2) Uses a 3x3 (9-cell) grid with Medium/Average intermediate categories instead of a simplistic 2x2 grid; (3) Shows both total industry size (circle area) and SBU market share (pie slice).
• **Hofer's Product-Market Evolution Matrix (5 x 3 = 15 Cells — Charles Hofer):**
- Plots SBUs along **5 Stages of Product-Market Lifecycle** on the vertical axis (*1. Development, 2. Growth, 3. Shakeout, 4. Maturity, 5. Decline*) and **3 Competitive Positions** on the horizontal axis (*Strong, Average, Weak*).
- *Importance:* Captures lifecycle evolution (especially Development and Shakeout), checks whether the corporate portfolio has balanced "Developing Winners" and "Cash Cows", and displays industry size (circle) and SBU market share (wedge).
• **Strategic Choice Criteria (Johnson & Scholes SFA Framework):**
- **1. Suitability:** Does the strategy fit the ETOP/SAP situation and mission?
- **2. Feasibility:** Do we have the financial, human, and technical resources to execute it?
- **3. Acceptability:** Do stakeholders accept the expected *Return*, *Risk*, and *Political/Cultural reactions*?

***EXAM MEMORY TIP / MNEMONIC:*** *Memorize Portfolio Matrices by their Grid Size: BCG = 2x2 (4 cells: Growth vs. Share); GE McKinsey = 3x3 (9 cells: Industry Attractiveness vs. Business Strength); Hofer's Matrix = 5x3 (15 cells: 5 Lifecycle Stages vs. 3 Competitive Positions)!*

# UNIT 4: STRATEGY IMPLEMENTATION (10 LHs)

## 4.1 Concept, Process & Basic Requirements for Strategy Implementation

• **Concept:** Strategy implementation is the action-oriented operational phase that translates formulated strategies into daily organizational action. While strategy formulation is entrepreneurial and intellectual (*effectiveness*), implementation is administrative and operational (*efficiency*).
• **Basic Requirements for Effective Strategy Implementation (McKinsey 7S & Core Pillars):**
• **1. Structure Follows Strategy (Chandler):** Designing an organizational structure with clear reporting lines and decision authority that fits the strategy.
• **2. Resource Allocation (Strategy-Driven Budgeting):** Allocating financial, physical, technological, and human resources to strategic priorities.
• **3. Management Systems, Functional Policies & SOPs:** Establishing operating policies, ERP/information systems, and performance-linked reward systems.
• **4. Strategic Leadership & Supportive Corporate Culture:** Inspiring commitment, overcoming resistance to change, and aligning shared values.

## 4.2 Organizational Structures for Strategy Implementation (7 Types)

| Structure Type | Key Design Features & Best Strategic Fit | Advantages (+ ) & Disadvantages (-) |
|---|---|---|
| **1. Simple Structure** | Owner-manager directly supervises all employees; no formal departments. Fits small, single-product startups. | (+) Fast, flexible, low overhead. (-) Overloads founder as firm grows. |

| Structure Type | Key Design Features & Best Strategic Fit | Advantages (+ ) & Disadvantages (-) |
|---|---|---|
| **2. Functional Structure** | Groups specialists by function (Production, Marketing, Finance, HR). Fits single-business or dominant-product firms. | (+) Deep functional specialization & scale. (-) Functional silos; slow cross-department coordination. |
| **3. Multidivisional (M-Form)** | Self-contained divisions by product, geography, or customer. Fits related diversified multi-product firms. | (+) Clear profit accountability per division. (-) Duplication of functional staffs across divisions. |
| **4. Strategic Business Unit (SBU)** | Groups similar divisions into autonomous SBUs under a VP reporting to CEO. Fits large multi-industry corporations. | (+) Enables portfolio planning (BCG/GE) & strategic focus. (-) Adds an extra layer of corporate hierarchy. |
| **5. Matrix Structure** | Dual authority combining vertical Functional departments with horizontal Project/Product teams (two bosses). | (+) Shares scarce specialists; high flexibility & innovation. (-) Dual-command confusion, turf wars, high meeting overhead. |
| **6. Holding Company Structure** | Parent company holds equity stakes in legally independent subsidiary companies with minimal HQ intervention. Fits conglomerates. | (+) Low corporate HQ cost; legal liability ring-fencing. (-) Zero operational synergy across subsidiaries. |
| **7. Project / Team / Network** | Cross-functional autonomous teams or virtual modular network outsourcing non-core activities. Fits dynamic tech/fashion firms. | (+) Extreme agility, speed, and low fixed asset base. (-) Loss of direct control over outsourced partners. |

### 4.3 Strategic Leadership: Roles & Capabilities in Implementation

- **1. Determining Strategic Direction & Articulating Vision:** Communicating a clear long-term vision that rallies employees.
- **2. Exploiting and Maintaining Core Competencies:** Ensuring unique VRIO capabilities are shared and deployed across units.
- **3. Developing Human Capital:** Hiring, training, and empowering talented managers and employees.
- **4. Sustaining an Effective Corporate Culture:** Fostering innovation, customer focus, and adaptability.
- **5. Emphasizing Ethical Practices & Corporate Governance:** Upholding integrity, transparency, and stakeholder trust.
- **6. Establishing Balanced Organizational Controls:** Using the Balanced Scorecard (Financial, Customer, Internal Process, Learning & Growth) to track execution.

## UNIT 5: STRATEGIC EVALUATION AND CONTROL (7 LHs)

### 5.1 Strategic Control vs. Operational Control & The 4 Types of Strategic Control

| Basis of Difference | Strategic Control | Operational (Management) Control |
|---|---|---|
| **1. Basic Question** | *'Are we moving in the right direction?'* (Validity of strategy). | *'Are we doing things right?'* (Execution against annual budget). |
| **2. Environment Focus** | **External & Internal** (scans macro environment + internal progress). | **Internal only** (focuses on internal departmental operations). |
| **3. Time Horizon & Timing** | Long-term (3–10 yrs); **Proactive / Feedforward & Concurrent**. | Short-term (daily to 1 year); **Reactive / Post-Action Feedback**. |
| **4. Responsibility** | Top Management (Board of Directors & CEO). | Middle and Operating-Level Managers. |

• **Four Types of Strategic Control (Schreyogg & Steinmann Framework — Must Know!):**
• **1. Premise Control:** Continuously checking whether the key environmental and industry assumptions (premises about inflation, interest rates, regulations, customer tastes) made during strategy formulation are still valid.
• **2. Strategic Surveillance:** Broad, unfocused "radar scanning" of the general environment (via trade journals, conferences, media) to detect unexpected emerging threats or opportunities that were not anticipated in Premise Control.
• **3. Special Alert Control (Crisis Control):** Rapid, immediate reassessment of the firm's strategy triggered by a sudden, unexpected, high-impact crisis event (e.g., an earthquake, pandemic, sudden regulatory ban, or major product failure like Apple's MobileMe).
• **4. Implementation Control:** Monitoring the step-by-step execution of the strategy through *Monitoring Strategic Thrusts (key projects)* and *Milestone Reviews* (critical time/budget checkpoints).

## 5.2 Process of Strategic Evaluation & Control, Strategic Audit & Strategic Information System (SIS)

• **6-Step Process of Strategic Control:**
(1) Determine what to control (key focus areas) -> (2) Set strategic standards/KPIs -> (3) Measure actual performance & monitor premises -> (4) Compare performance against standards -> (5) Analyze deviations -> (6) Take corrective action.
• **Strategic Audit:** A comprehensive, systematic, and objective diagnostic review of the entire organization's strategic posture (external environment, internal capabilities, formulation, implementation, and performance) using a standardized checklist.
• **Strategic Information System (SIS):** A computer-based information system (combining ERP, Point-of-Sale [POS], CRM, Supply Chain Management [SCM], and Executive Business Intelligence Dashboards) that directly supports or shapes a firm's competitive strategy, enables real-time central control across outlets, and provides early-warning intelligence.

## 5.3 Exam Master Guide: How to Score 18+/20 in Group D Case Studies (MGT 240)

When solving Group D Case Studies (4 questions x 5 marks = 20 marks), always structure every answer using Strategic Management terminology:
• **1. If asked for Industry / External Analysis:** Apply **Porter's Five Forces** (Rivalry, Substitutes/Counterfeits, Supplier/Principal power, Buyer power, New Entrants) + **PESTEL**, citing exact case facts (e.g., competitors' outlets, pricing, or regulations mentioned in the case).
• **2. If asked for Strategy Recommendation:** Explicitly name both the **Business-Level Generic Strategy** (e.g., *Broad Differentiation, Best-Cost Provider, or Focused Differentiation*) and the **Corporate/Functional Strategy** (e.g., *Related Diversification, Market Development, or JIT Operations*).
• **3. If asked for Organizational Structure:** Recommend a specific structure (*Functional, Divisional, SBU, or Matrix*), explain how it separates conflicting workloads found in the case, and state the positions to create.
• **4. If asked for Control / Information Systems / Recommendations:** Recommend **POS/Inventory ERP, MIS Reporting Dashboards, CRM, and Implementation/Special Alert Control** tied directly to the bottlenecks in the case.

***EXAM MEMORY TIP / MNEMONIC:*** *Remember the 4 Types of Strategic Control by the acronym 'P-S-S-I': Premise Control (checking assumptions), Strategic Surveillance (broad radar scan), Special Alert Control (sudden crisis response), and Implementation Control (milestone reviews)!*